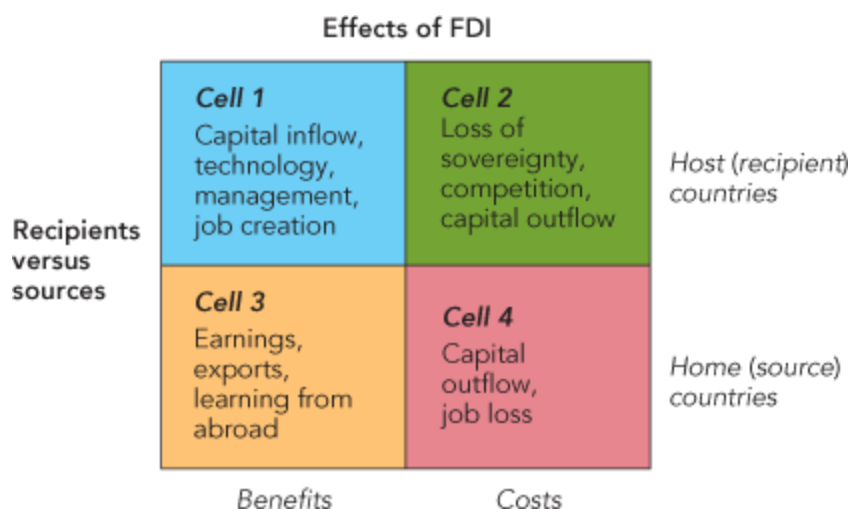


6-6b Benefits and Costs of FDI to Host Countries

Underpinning pragmatic nationalism is the need to assess the various benefits and costs of FDI to host (recipient) countries and home (source) countries (see the [Closing Case](#)). In a nutshell, [Figure 6.8](#) outlines these considerations. This section focuses on host countries, and the next section deals with home countries.

Figure 6.8

Effects of FDI on Host and Home Countries



Cell 1 in [Figure 6.8](#) shows four primary benefits to host countries:

- Capital inflow can help improve a host country's balance of payments. (See [Chapter 7](#) for more coverage on balance of payments.)
- Technology, especially more advanced technology from abroad, can create **technology spillovers** (Technology diffused from foreign firms to domestic firms.) that benefit domestic firms and industries. Local rivals, after observing such technology, may recognize its feasibility and strive to imitate it. This is known as the **demonstration effect** (The reaction of local firms to rise to the challenge demonstrated by MNEs through learning and imitation.)—sometimes also called the **contagion (or imitation) effect** (The reaction of local firms to rise to the challenge demonstrated by MNEs through learning and imitation.)
- It underscores the important role that MNEs play in stimulating competition in host countries.

- Advanced management know-how may be highly valued. It is often difficult for indigenous development of management know-how to reach a world-class level in the absence of FDI (see the [Closing Case](#)).
- FDI creates a total of 80 million jobs, which represent approximately 4% of the global workforce. FDI creates jobs both directly and indirectly. Direct benefits arise when MNEs employ individuals locally. In Ireland, more than 50% of the manufacturing employees work for MNEs. In the UK, the largest private sector employer is an MNE: India's Tata has 50,000 employees in the UK (see the [Opening Case](#)). Indirect benefits include jobs created when local suppliers increase hiring and when MNE employees spend money locally resulting in more jobs.

Cell 2 in [Figure 6.8](#) outlines three primary costs of FDI to host countries:

- (1) loss of sovereignty,
- (2) adverse effects on competition, and
- (3) capital outflow.

The first concern is the loss of some (but not all) economic sovereignty associated with FDI. Because of FDI, decisions to invest, produce, and market products and/or to close plants and lay off workers in a host country are being made by foreigners—or if locals serve as heads of MNE subsidiaries, they represent the interest of foreign firms. Will foreigners and foreign firms make decisions in the best interest of host countries? This is truly a “million dollar” question. According to the radical view, the answer is “No!” because foreigners and foreign firms are likely to maximize their own profits by exploiting people and resources in host countries. Such deep suspicion of MNEs leads to policies that discourage or even ban FDI. On the other hand, countries embracing free market and pragmatic nationalism views agree that despite some acknowledged differences between foreign and host country interests, there is a sufficient overlap of interests between MNEs and host countries. Thus, host countries are willing to live with some loss of sovereignty.

A second concern is associated with the negative effects on local competition. While we have just discussed the positive effects of MNEs on local competition, it is possible that MNEs may drive some domestic firms out of business. Having driven domestic firms out of business, MNEs, in theory, may be able to monopolize local markets. While this is a relatively minor concern in developed economies, this is a legitimate concern for less-developed economies, where MNEs are of such a magnitude in size and strength and local firms tend to be significantly weaker. For example, as Coca-Cola and PepsiCo extend their “cola wars” from the United States around the world, they have almost “accidentally” wiped out much of the world’s indigenous beverages companies, which are—or were—much smaller.

A third concern is associated with capital outflow. When MNEs make profits in host countries and repatriate (send back) such earnings to headquarters in home countries, host countries experience a net outflow in the capital account in their balance of payments. As a result, some countries have restricted the ability of MNEs to repatriate funds. Another issue arises when MNE subsidiaries spend a lot of money to import components and services abroad, which also results in outflows of capital and reduction of tax revenue (see [In Focus 6.1](#)).

Chapter 6: Investing Abroad Directly: 6-6b Benefits and Costs of FDI to Host Countries

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